

Hero MotoCorp Ltd (HEROMOTOCO)

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Company Overview

Hero Moto Corp earlier also known as \"Hero Honda\" is one of India's first motorcycle manufacturers. The company started in 1984 as a Technological collaboration with Honda, Japan. Before this collaboration, Hero was selling Cycles under the brand name, Hero Cycles.

Key Financial Ratios Table

Year	NPM %	ROE %	D/E	Interest Coverage	Asset Turnover	FCF (Cr)
2024	9.9%	21.1%	0.03	47.3	1.44	3095.0
2023	8.2%	16.8%	0.03	53.0	1.43	2193.0
2022	7.9%	14.7%	0.04	48.3	1.31	1882.0
2021	9.5%	19.0%	0.04	48.7	1.34	1821.0
2020	12.5%	25.4%	0.03	17.6	1.49	2699.0
2019	10.2%	26.4%	0.02	39.1	1.84	2330.0
2018	11.5%	31.1%	0.02	48.1	1.87	2159.0
2017	12.4%	34.4%	0.03	29.0	1.87	2035.0
2016	10.9%	35.2%	0.03	57.1	2.21	1422.0
2015	8.6%	36.1%	0.02	73.9	2.58	2217.0

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Qualitative Investment Insights

Strengths (Pros):

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing

Risks & Concerns (Cons):

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum